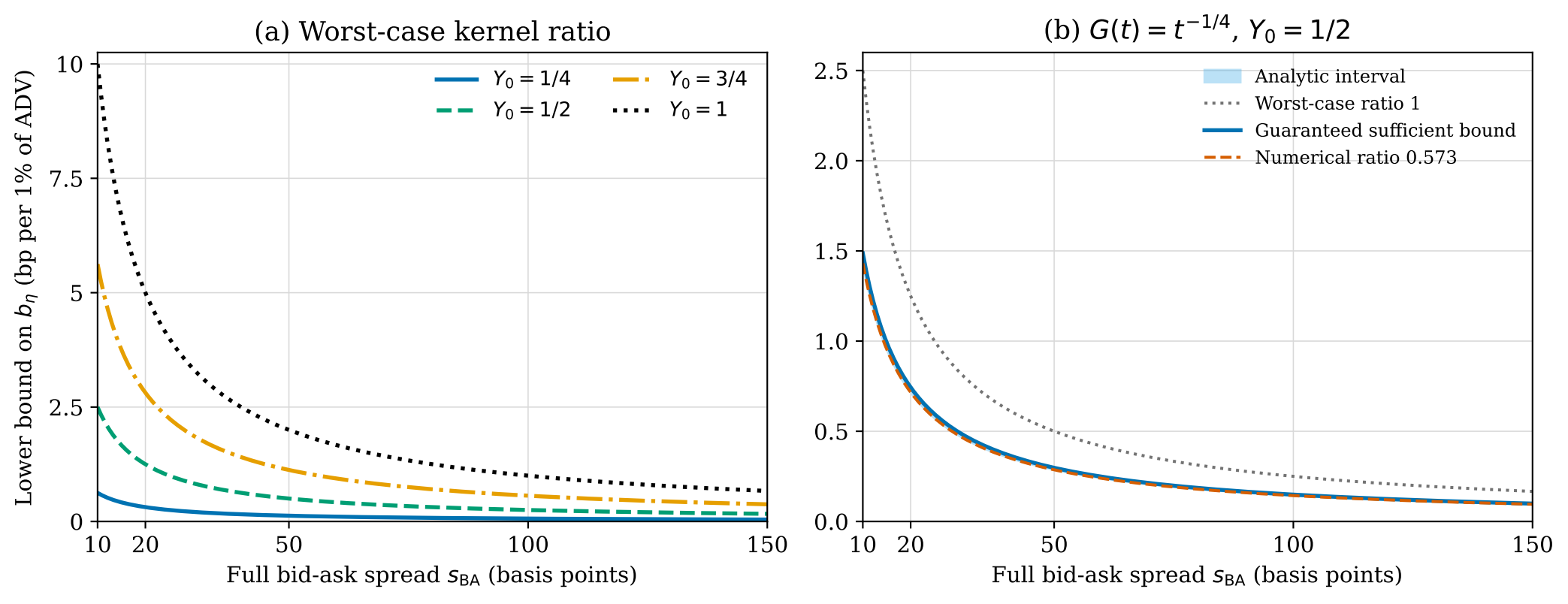
(a) Worst-case kernel ratio
Lower bound on b_η (bp per 1% of ADV)
Full bid-ask spread s_{BA} (basis points)
$Y_0 = 1/4$
$Y_0 = 1/2$
$Y_0 = 3/4$
$Y_0 = 1$
10
7.5
5
2.5
0
10
20
50
100
150
(b) $G(t) = t^{-1/4}$, $Y_0 = 1/2$
Full bid-ask spread s_{BA} (basis points)
Analytic interval
Worst-case ratio 1
Guaranteed sufficient bound
Numerical ratio 0.573
2.5
2.0
1.5
1.0
0.5
0.0
10
20
50
100
150